Type MS · Using income statements and financial documents to decide

Answer 1 of 12 · Question 2 part e · 3 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a reason why *Rabanne* ensures all its employees have job enrichment opportunities. • The employees making the perfume find their job more interesting **(1)** • Job enrichment gives employees the opportunity to try different types of jobs in the production of aftershaves **(1)** **NB** Do not accept a reason that is not in the context of *Rabanne*. Accept any appropriate response.	**(1)**

Type MS · Using income statements and financial documents to decide

Answer 1 of 12 · Question 2 part e · 3 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Q. No.	State **one** way *Rabanne* could measure its success as a business. **Answer**	Mark
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid way *Rabanne* could measure its success in the context of the business. • *Rabanne* can measure its success by the increase in sales of Invictus **(1)** • *Rabanne* can compare its market share with that of other perfume businesses to see which is the most successful **(1)** **NB** Do not accept a way that is not in the context of *Rabanne*. Accept any appropriate response.	**(1)**

Q. No.	Explain **one** reason why some businesses fail. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason why some businesses fail, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Poor cashflow can lead to failure **(1)** from a lack of finance **(1)** to pay suppliers and other debtors **(1)** • Prices could be too high and therefore not competitive **(1)** which could result in a fall in demand **(1)** leading to a lack of revenue **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Using income statements and financial documents to decide

Answer 1 of 12 · Question 2 part e · 3 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Q. No.	Explain **one** reason why a business would use targeted advertising online to promote itself. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one reason why a business would use targeted advertising online to promote itself, plus 2 further marks for explaining the benefits, for a maximum of 3 marks. • The business can send information to customers who have purchased from them before **(1)** and are more likely to purchase again **(1)** which can lead to improved customer loyalty **(1)** • The business could promote to a specific demographic **(1)** using different online activities **(1)** which may lead to increased brand awareness **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** reason why businesses use statements of comprehensive income when making decisions. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of one reason why businesses use statements of comprehensive income when making decisions, plus 2 further marks for explaining the importance, for a maximum of 3 marks. • A business can see how the business is performing **(1)** and can calculate the profit margin **(1)** along with other calculations if the performance has deteriorated **(1)** • Businesses can use it to compare itself to similar businesses **(1)** which will enable them to judge its performance against competitors **(1)** giving an indication of how well the business is doing **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Using income statements and financial documents to decide

Answer 1 of 12 · Question 2 part e · 3 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Q. No.	**Option 1:** communicate all information through text messaging/email **Option 2:** hold weekly meetings Justify which **one** of these two options *Rabanne* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – Email is a method that is used by everyone and can be sent from one location to another ensuring all employees are kept up to date on the packaging of the new aftershave • **Option 2** – Holding weekly meetings allows people to meet face to face and give their opinion on the new adverts for Lady Million **AO3** • **Option 1** – This would ensure that all *Rabanne* employees would be kept up to date on production changes • **Option 2** – Discussions can take place on any improvements or amendments that need to be made **AO4** • **Option 1** – However, if there is no internet signal then sending messages and receiving them would be difficult • **Option 2** – However, meetings are very time consuming and not everyone can make the meeting because of the distance between departments	**(9)**

Type MS · Using income statements and financial documents to decide

Answer 1 of 12 · Question 2 part e · 3 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Using income statements and financial documents to decide

Answer 1 of 12 · Question 2 part e · 3 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Q. No.	Define the term **just-in-time (JIT).** **Answer**	Mark

4 (a)	**AO2 - 2 marks** 45 024/62 400 x 100 **(1)** = 72.15 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse factors that *Aude Rose* might consider when measuring the success of its business. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • *Aude Rose* have grown by opening a larger shop in the centre of Paris • By moving to the centre of Paris it has made possible an increase in the number of people buying its flowers **AO3** • By moving to a larger shop in a better location *Aude Rose* has shown success by being able to pay the higher rent • This shows success of the business as there is a demand for its flowers and they are willing to increase the risk to the business by investing in a wider range of flowers	**(6)**

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Type MS · Using income statements and financial documents to decide

Answer 2 of 12 · Question 4 part c · 12 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Type MS · Using income statements and financial documents to decide

Answer 2 of 12 · Question 4 part c · 12 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Evaluate the usefulness of financial documents to help *Aude Rose* when deciding to open a second shop. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • The statement of comprehensive income can show the profit or loss the business has made by the end of its financial year • The figures can show how capable the business is of expanding **AO2** • This can help the business to see how profitable the flower shop currently is • This could draw in potential investors who are interested in the success of the flower shop **AO3** • This document will be useful to show *Aude Rose* how much profit it has to be able to put towards the expansion or inform a bank of how much it needs to lend • The financial documents will outline the current position of the business and could include a cash flow forecast projecting net cash flow in the future **AO4** • However, there are other factors that need to be considered such as figures from previous years as well as the affordability to run the new shop • However, other factors need to be taken into consideration such as the location of the competition which could make it difficult for the second flower shop to survive as a new business to that particular area.	**(12)**

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Type MS · Using income statements and financial documents to decide

Answer 2 of 12 · Question 4 part c · 12 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Using income statements and financial documents to decide

Answer 2 of 12 · Question 4 part c · 12 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Question Number	Answer	Mark
1 (a) (i)	**AO1 - 1 mark** **D** Human Resources	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **B** Selling assets	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **C** Cost of sales	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **A** Taxation	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C** 250%	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 - 1 mark** **D** S$42.08	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • An increase in average cost per units **(1)**.	**(1)**

Type MS · Using income statements and financial documents to decide

Answer 3 of 12 · Question 1 part a.iii · 1 mark

2021 NOV · Paper 01 · extract 2 of 5 · find part a.iii in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of job production. • A method of production that involves completing one unit of output at a time **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a financial method of motivation *Artify Studio* could use to motivate its employee in the context of the business. • Employees could be given commission for any art materials they sell **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 285 x 0.12 = 34.20 **(1)** 285 – 34.20 = 250.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Answer 3 of 12 · Question 1 part a.iii · 1 mark

2021 NOV · Paper 01 · extract 3 of 5 · find part a.iii in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a measure of success, plus 2 further marks for explaining this measure, for a maximum of 3 marks. • Market share can be used to measure the success of a business **(1).** Changes in market share will show how well or not the business is doing **(1)** and help them to make decisions for the business **(1).** **NB** Answers that list three measures of success with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Lower interest rates could lead to an increase in the demand for the popular Liberty Art Jam sessions. • The cost of borrowing comes down so *Artify Studio* could pay less on any loans they take out. **AO3** • *Artify Studio* may need to put on additional sessions to cater for the increase in demand, this will lead to an increase in costs but as sales increase this can cover this cost. • This will enable *Artify Studio* to have more funds available to increase advertising and bring in more customers.	**(6)**

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Type MS · Using income statements and financial documents to decide

Answer 3 of 12 · Question 1 part a.iii · 1 mark

2021 NOV · Paper 01 · extract 4 of 5 · find part a.iii in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Answer 3 of 12 · Question 1 part a.iii · 1 mark

2021 NOV · Paper 01 · extract 5 of 5 · find part a.iii in this mark scheme extract

Question Number	Answer	Mark

Type MS · Using income statements and financial documents to decide

Answer 4 of 12 · Question 2 part e · 3 marks

2025 NOV · Paper 01 · extract 1 of 7 · find part e in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a fixed costs that *Ocean Vibes* are likely to pay. • Wages/salaries paid to the tour guides **(1)** • Rent/fees paid to the tourist resort **(1)** **NB** Do not accept a reason that is not in the context of *Ocean Vibes* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** method of primary research *Ocean Vibes* may use. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a method of primary research *Ocean Vibes* may use • Dolphin tour customer survey **(1)** • Scientist focus group **(1)** **NB** Do not accept a method that is not in the context of *Ocean Vibes* **Accept any other appropriate response.**	**(1)**

Type MS · Using income statements and financial documents to decide

Answer 4 of 12 · Question 2 part e · 3 marks

2025 NOV · Paper 01 · extract 2 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** advantage to a business of having high market share. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for one advantage to a business of having a high market share, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • The business is likely to have loyal customers **(1)** as the business is performing better than competitors in terms of sales volume/revenue **(1)** leading to higher potential profitability **(1)** • Higher market share can generate higher sales **(1)** this would allow the business to benefit from economies of scale **(1)** reducing the total costs of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages of a business having a high market share with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Using income statements and financial documents to decide

Answer 4 of 12 · Question 2 part e · 3 marks

2025 NOV · Paper 01 · extract 3 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** advantage to a business of using e-commerce to sell its products. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for an advantage to a business of using e-commerce to sell its products, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • A business may reduce its costs **(1)** as it may not have to pay for a retail store/office **(1)** leading to increased levels of profit for the business **(1)** • More customers will use an online business rather than going to a store **(1)** this will increase the revenue of the business **(1)** leading to increased market share **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages of using e-commerce to sell its products with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Using income statements and financial documents to decide

Answer 4 of 12 · Question 2 part e · 3 marks

2025 NOV · Paper 01 · extract 4 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** reason why shareholders would be interested in the financial documents of a business. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why shareholders would be interested in the financial documents of a business, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Shareholders may review the financial documents to assess if the business is making a profit **(1)** as the shareholder is interested in gaining a return on their investment **(1)** which may help them to decide to either sell their shares or buy more shares in the business **(1)** • To compare the financial performance of the business **(1)** in order to identify cost savings **(1)** which can help to improve the profitability of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why shareholders would be interested in the financial documents of a business, with no explanation will get a maximum of 1 mark **Accept any other appropriate response.**	**(3)**

Type MS · Using income statements and financial documents to decide

Answer 4 of 12 · Question 2 part e · 3 marks

2025 NOV · Paper 01 · extract 5 of 7 · find part e in this mark scheme extract

Question Number	The owners of *Ocean Vibes* plan to grow the business. They are considering two options to finance the growth: **Option 1:** venture capital **Option 2:** loan capital. Justify which **one** of these two options the owners of *Ocean Vibes* should choose **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – *Ocean Vibes* may appeal to an individual who wishes to invest in a business that is concerned with the welfare of birds and dolphins • **Option 2** – *Ocean Vibes* could use a loan to buy new boats to enable it to offer more boat tours **AO3** • **Option 1** – The venture capitalist may offer advice to the young scientists to help them increase the revenue of *Ocean Vibes* • **Option 2** – It is possible that a loan for a large amount of money can be received from the bank quickly to enable *Ocean Vibes* to buy new boats for its business **AO4** • **Option 1** – However, the venture capitalist may wish to take some control of the business which may cause disagreement within the business • **Option 2** – However, interest will be paid on the loan in addition to the loan amount which will increase costs and possibly reduce profitability	**(9)**

Type MS · Using income statements and financial documents to decide

Answer 4 of 12 · Question 2 part e · 3 marks

2025 NOV · Paper 01 · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Using income statements and financial documents to decide

Answer 4 of 12 · Question 2 part e · 3 marks

2025 NOV · Paper 01 · extract 7 of 7 · find part e in this mark scheme extract

Question Number	Define the term **span of control.** **Answer**	Mark

Type MS · Using income statements and financial documents to decide

Answer 5 of 12 · Question 3 part d · 6 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of current liabilities. The amounts owed by a business that must be paid within twelve months **(1).**	**(1)**

Question Number	Answer	Mark
3 (b)	**AO2 - 2 marks** Award 1 mark for identifying a reason why the revenue is higher for the Bakery shops rather than *L.bistro* and *L.café*, plus 1 further mark for linking it to the context of the question. Bakeries are used on a daily basis buying the same kind of products i.e. bread and cakes **(1)** whereas *L.bistro* and *L.café* are more for special occasions **(1).** Do not accept a reason that is not in the context of *Lavender*. **Accept any other appropriate response.**	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**AO2 - 2 marks** 24/75 x 100 **(1)** = 32% **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Using income statements and financial documents to decide

Answer 5 of 12 · Question 3 part d · 6 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Lavender* are able to see if they have enough money to expand into other parts of Malaysia. • *Lavender* can use these figures to show investors how successful they are as a business and are capable of expanding. **AO3** • As *Lavender* want to expand they need to take into account other factors such as overheads and outgoings as these may be higher so the net profit figure may be low and they will not have enough to expand. • *Lavender* also need to consider other factors such as the location of competition in the areas they are looking to expand in and if they can survive as a new business entering the area or comparing the figures to last year's figures to see if they have performed better or worse.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Using income statements and financial documents to decide

Answer 5 of 12 · Question 3 part d · 6 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** Option 1 – Primary market research, such as questionnaires, will allow *Lavender* to approach existing and potential customers face to face to ask their opinions of its food and menu. Option 2 – Secondary market research, such as the internet, will allow *Lavender* to gain wider sources of information about the area it wishes to expand into and see if there are other similar restaurants. **AO3** Option 1 – Therefore, giving *Lavender* detailed feedback specific to its business about its food products and from people who are within the area it is looking to expand into. Option 2 – Therefore, it is less time consuming for *Lavender* because other people have put the information together and they can find out other information such as local bakeries as opposed to just what the customers' needs and wants are such as local competition and suppliers in the area. **AO4** Option 1 – However, they may also find that not all of the feedback gained is relevant to the menu they have or some people may not want to fill in the questionnaire so they do not gather all of the information they require. Option 2 – However, when using secondary market research methods you could spend a lot of time looking at other factors and not gaining the information you actually need about food products. Also some of the information might not be relevant to the business activity of *Lavender* or could be outdated.	**(9)**

Type MS · Using income statements and financial documents to decide

Answer 5 of 12 · Question 3 part d · 6 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Using income statements and financial documents to decide

Answer 5 of 12 · Question 3 part d · 6 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of revenue. • The income over a period of time from the sales of goods **(1)**. • Price x sales **(1)**	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a reason why *Tata Motor Company* would want to use an overdraft, plus 1 further mark for linking it to the context of the question. • *Tata Motor Company* would need an overdraft to overcome a shortfall in funds **(1)** which means if it needs funds to purchase additional tyres the money will be available **(1)**. **NB** Do not accept a reason that is not in the context of *Tata Motor Company.* **Accept any other appropriate response.**	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 - 2 marks** 42 839 – 18 441 = 24 398 **(1)** 24 398 ÷ 18 441 x 100 = 132.30% **(1)**	Award 1 mark for correctly substituting numbers into the formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Using income statements and financial documents to decide

Answer 6 of 12 · Question 3 part d · 6 marks

2019 JUN · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Tata Motor Company's* revenue has increased year on year. • *Tata Motor Company* can use these figures to compare them with other vehicle manufacturers. **AO3** • *Tata Motor Company* could invest in designing and manufacturing new cars. • *Tata Motor Company* could adjust its prices to increase its yearly revenue.	**(6)**

	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Using income statements and financial documents to decide

Answer 6 of 12 · Question 3 part d · 6 marks

2019 JUN · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – you are able to obtain the information directly from the people about the cars they want and the price they are prepared to pay. • **Option 2** – secondary research is much easier to collate from other car manufacturing websites and reports. **AO3** • **Option 1** – this helps *Tata Motor Company* gather information that is relevant and can help in designing and pricing the next cars to be manufactured. • **Option 2** – and will not take *Tata Motor Company* as long to gather the information it requires. **AO4** • **Option 1** – although gaining this information is important for *Tata Motor Company* it is very costly in time and man power. • **Option 2** – the data it collects may not provide the information it requires.	**(9)**

Type MS · Using income statements and financial documents to decide

Answer 6 of 12 · Question 3 part d · 6 marks

2019 JUN · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Using income statements and financial documents to decide

Answer 6 of 12 · Question 3 part d · 6 marks

2019 JUN · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Using income statements and financial documents to decide

Answer 7 of 12 · Question 3 part d · 6 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

3 (a)	**A01 = 1 mark** Award 1 mark for a correct definition of job share. • Two part-time employees share a single job (1).	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 = 2 marks** Award 1 mark for identifying a reason why high levels of customer satisfaction are important to *Loaf*, plus 1 further mark for linking it to the context of the question. • Returning customers will buy bakery products increasing revenue (1) and potentially higher profits could be returned to the local community (1). **NB** Do not accept a reason that is not in the context of *Loaf*. **Accept any other appropriate response**.	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 = 2 marks** 22 - 4 = 18 (1) 18 ÷ 90 x 100 = 20 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Using income statements and financial documents to decide

Answer 7 of 12 · Question 3 part d · 6 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Loaf* can see how the business is performing and can calculate the operating profit margin of 20%. • *Loaf* can use this information to compare itself to other bakeries or cooking schools. **AO3** • Other calculations can be made and could allow *Loaf* to take action if performance has deteriorated. • This will enable *Loaf* to judge its performance against its competitors, giving an indication of how well the business is doing.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Using income statements and financial documents to decide

Answer 7 of 12 · Question 3 part d · 6 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – Pop-up events showcasing its bakery products across the country will lead to higher sales. • Option 2 – Introducing different cookery courses will target new customers wanting to learn new cookery skills. **AO3** • Option 1 – As *Loaf* already runs pop-up events it will not be costly to run these in other areas. The revenue from these events will increase cash inflow while the cost may only have a small effect on cash outflow. • Option 2 – By offering a wider range of cookery courses this may increase cash inflow and make use of its existing facilities, generating increased inflows. **AO4** • Option 1 – However, as Loaf may not be known and the costs of running these pop- up events across the country could be higher than the revenue from them leading to a negative net cash flow. • Option 2 – However, this may not increase net cash flow because *Loaf* will still have to run the classes even if they are not full so could end up spending more on the teachers and food, resulting in higher outflows than inflows.	**(9)**

Type MS · Using income statements and financial documents to decide

Answer 7 of 12 · Question 3 part d · 6 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Using income statements and financial documents to decide

Answer 7 of 12 · Question 3 part d · 6 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Using income statements and financial documents to decide

Answer 8 of 12 · Question 4 part b · 6 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

4 (a)	**A02 = 2 marks** 64 650 – 42 450 = 22 200 (1) 22 200/54 550 = 0.41 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**
Question Number	Indicative content		Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Banks may need details of the financial situation of *HRMW* to assess the risk to them of granting a loan for the new sporting products. • The banks would want to look at the accounts for several years to see if there is a pattern or trend in *HRMW*'s success and if it has any large debts. **AO3** • The banks would want to see if *HRMW* has sufficient funds to pay back not only the loan but also the interest. • If *HRMW* can prove that it has traded successfully for a number of years, it might receive a lower rate of interest on any loan.		**(6)**

Type MS · Using income statements and financial documents to decide

Answer 8 of 12 · Question 4 part b · 6 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Using income statements and financial documents to decide

Answer 8 of 12 · Question 4 part b · 6 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • *HRMW* can judge its success by looking at changes in its revenue. • *HRMW* can also measure its success by customer satisfaction. **AO2** • Between 2020-2022 *HRMW*'s estimated revenue is set to increase by 8.51%. • If customers are satisfied with the goods, they will return to *HRMW*. **AO3** • If *HRMW* compares its revenues with those of its competitors, it gives it an indication of its relative success. • If customers are happy with the sports products, they will spread the word to family and friends, which could increase demand for these products leading to increased sales. **AO4** • However, revenue is only a part of the success of the business. There are other factors to be considered such as shareholders receiving dividends on their investment and this may conflict with *HRMW*'s plans for expansion. • However, customer satisfaction may require changes in prices, and this could impact on revenue and profits, leading to a less successful business.	**(12)**

Type MS · Using income statements and financial documents to decide

Answer 8 of 12 · Question 4 part b · 6 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Using income statements and financial documents to decide

Answer 8 of 12 · Question 4 part b · 6 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Using income statements and financial documents to decide

Answer 8 of 12 · Question 4 part b · 6 marks

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

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Type MS · Using income statements and financial documents to decide

Answer 9 of 12 · Question 1 part g · 6 marks

2020 NOV · Paper 02 · extract 1 of 6 · find part g in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is B - Shares are traded on the stock exchange** A is not correct because a plc is not controlled by the government C is not correct because a plc can have more than 50 shareholders D is not correct because there is no restriction in transfer of shares	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 = 1 mark** **The only correct answer is C – Finance** A is not correct because Human resources looks after people B is not correct because Marketing identifies customers' needs D is not correct because Production is making goods	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is A - 12.5%** B is not correct because Total equals £1 200 000 and 20.8% - Business 4 C is not correct because 25% = £300 000 – Business 1 D is not correct because 29.2% = £350 000 – Business 5	**(1)**

Type MS · Using income statements and financial documents to decide

Answer 9 of 12 · Question 1 part g · 6 marks

2020 NOV · Paper 02 · extract 2 of 6 · find part g in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is B - More funds taken out than are in the account** A is not correct because borrowing regular amounts is a loan C is not correct because money lent by many people is 'just giving' D is not correct because a loan for repayment is a loan	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 = 1 mark** **The only correct answer is D - 2.53%** A is not correct because calculation worked out on Cash assets not Total assets B is not correct because percentage correct but not minus calculation wrong way round C is not correct because calculation worked out using 2016-2017 figure not 2015-2016 figure	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO1 = 1 mark** **The only correct answer is C - Job description** **A** is not correct because a Business plan is not in recruitment **B** is not correct because Induction training is after recruitment **D** is not correct because Job enrichment is after recruitment	**(1)**

Type MS · Using income statements and financial documents to decide

Answer 9 of 12 · Question 1 part g · 6 marks

2020 NOV · Paper 02 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of social enterprise. • A business whose profits are used to benefit it and the community (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of globalisation. • Companies operating internationally across the world (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason why *Emirates* uses competition pricing in the context of the business. • To attract more people to fly with *Emirates* and not its competitors (1). • As *Emirates* flies to 180 destinations consumers do not find it necessary to choose other airlines (1). **Accept any other appropriate response.**	**(1)**

Type MS · Using income statements and financial documents to decide

Answer 9 of 12 · Question 1 part g · 6 marks

2020 NOV · Paper 02 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 26 – 30 (1) = –4 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • One factor is called a hygiene factor (1) workers can become demotivated (1) if hygiene factors such as pay are not met (1). • The other factor is motivator (1) employees gain achievement in their job (1) which allows then to grow and develop (1). Answers that list two factors with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Using income statements and financial documents to decide

Answer 9 of 12 · Question 1 part g · 6 marks

2020 NOV · Paper 02 · extract 5 of 6 · find part g in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Comparison of finances from different routes can be made from year to year. *Emirates* can make decisions on whether routes continue. **AO3** • Decisions can then be made whether to reduce costs or change certain strategies. • The figures can also inform *Emirates* what action it might need to take in coming years.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Using income statements and financial documents to decide

Answer 9 of 12 · Question 1 part g · 6 marks

2020 NOV · Paper 02 · extract 6 of 6 · find part g in this mark scheme extract

Question Number	Answer	Mark

Type MS · Using income statements and financial documents to decide

Answer 10 of 12 · Question 3 part d · 6 marks

2021 NOV · Paper 01 · extract 1 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark
3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of price skimming. • Setting a high price for a new product and then lowering it later **(1).**	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a reason why cash is important to *Artify Studio*, plus 1 further mark for linking it to the context of the question. • It allows *Artify Studio* to pay suppliers for the art materials they sell **(1)** and by paying on time help to build a positive relationship between the business and supplier **(1).** **NB** Do not accept a reason that is not in the context of *Artify Studio*. **Accept any other appropriate response.**	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 - 2 marks** 28 500/90 500 x 100 **(1)** = 31.49 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Type MS · Using income statements and financial documents to decide

Answer 10 of 12 · Question 3 part d · 6 marks

2021 NOV · Paper 01 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Artify Studio* can see how it is performing and can calculate the gross profit margin of 31.49%. • *Artify Studio* could can use this information to assess the direction that the art studio will take in the future. **AO3** • This calculation helps them to see the sales they are making are currently sufficiently covering costs of running their services and selling their products. • This helps *Artify Studio* to judge how much profit they are making against the cost of running their business and if any changes need to be made to make the business more profitable.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Type MS · Using income statements and financial documents to decide

Answer 10 of 12 · Question 3 part d · 6 marks

2021 NOV · Paper 01 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – Crowdfunding could be a quick way to raise the finance needed for new art sets. • Option 2 – Tay Hui Jae could invest his own retained profits which have been earned from previous years to purchase the new art sets. **AO3** • Option 1 – Investors do not need to be given any financial reward in return for their money but could instead be offered access to the art services *Artify Studio* offer. • Option 2 – This may provide the business will the short-term finance it needs to get the painting sets together. **AO4** • Option 1 – However, *Artify Studio* is only a small business so may not have enough presence to gain the funding needed and if they don't meet the target they set then they may end up with nothing. • Option 2 – However, there is no guarantee these painting sets will sell as customers may prefer for their children to take part in the art sessions in the studio making the venture unsuccessful.	**(9)**

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Type MS · Using income statements and financial documents to decide

Answer 10 of 12 · Question 3 part d · 6 marks

2021 NOV · Paper 01 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Using income statements and financial documents to decide

Answer 10 of 12 · Question 3 part d · 6 marks

2021 NOV · Paper 01 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Using income statements and financial documents to decide

Answer 11 of 12 · Question 3 part d · 6 marks

2022 JUN · Paper 02 · extract 1 of 5 · find part d in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **delegation** • The passing of work from a superior to a subordinate **(1)**	**(1)**

Question Number	Outline **one** benefit to *LEGO* of being a privately-owned family business. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a benefit for *LEGO of* being a family owned business, plus 1 further mark for linking it to the context of the question. • This means that since 1932 the Kritiansen family have continuously run *LEGO as a* privately owned business **(1)** which gives *LEGO* stability and continuity **(1)** **NB** Do not accept a benefit that is not in the context of *LEGO.* **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the employee's new salary. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 150 000 x 0.045 = 6 750 **(1)** 150 000 + 6 750 = 156 750 **(1)** **OR** 150 000 x 1.045 **(1)** = 156 750 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Using income statements and financial documents to decide

Answer 11 of 12 · Question 3 part d · 6 marks

2022 JUN · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Analyse how *LEGO* could use a Statement of Comprehensive Income when considering the development of new toys. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Statement of Comprehensive Income gathers data from all 15 worldwide *LEGO* factories • *LEGO* can use the information to see its financial position when introducing the new Star Wars Princess Leia toy and whether it has sufficient funds **AO3** • This will enable *LEGO* to see if it is making a sufficient profit margin compared to other toy makers such as Disney allowing it to alter its pricing strategy • Introducing a new toy is expensive as there are costs of design and development as well as producing the toy before it goes on sale to the public	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Using income statements and financial documents to decide

Answer 11 of 12 · Question 3 part d · 6 marks

2022 JUN · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	**Option 1:** on-the-job training **Option 2:** off-the-job training. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – The cost of training is reduced as employees remain on the premises producing the Princess Leia toy whilst being trained • **Option 2** – When employees are trained by experts off site, they gain new skills and see new production methods not seen in the 15 *LEGO* factories **AO3** • **Option 1** – Employees gain in confidence as they are trained by staff they know whilst at *LEGO* • **Option 2** – Employees can gain new skills from experts, resulting in fewer errors thus improving the number of toys produced in each factory **AO4** • **Option 1** – However, this can be time consuming and prevents the skilled employees from carrying out their job efficiently • **Option 2** – However, the new employees may not gain the specific skills and knowledge which are needed for designing the new Star Wars toys for *LEGO*	**(9)**

Type MS · Using income statements and financial documents to decide

Answer 11 of 12 · Question 3 part d · 6 marks

2022 JUN · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Using income statements and financial documents to decide

Answer 11 of 12 · Question 3 part d · 6 marks

2022 JUN · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, the current ratio in 2019. **Answer**	**Additional guidance**	**Mark**

Type MS · Using income statements and financial documents to decide

Answer 12 of 12 · Question 4 part b · 6 marks

2023 JUN · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

4 (a)	**A02 - 2 marks** 4.3 – 3.7 = 0.6 **(1)** 0.6 ÷ 4.3 x 100 = 13.95 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Using income statements and financial documents to decide

Answer 12 of 12 · Question 4 part b · 6 marks

2023 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Analyse why *IKEA* uses statements of comprehensive income to assess its business performance. **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • *IKEA* can study the statement of comprehensive income to see if the profit for the year has increased or has remained stable since the introduction of new beds to the range • *IKEA* can review the expenses, such as the employee bonus, made during the year to see if it can continue **AO3** • *IKEA* can then decide to either increase the range or to discontinue dependant on figures • *IKEA* can evaluate if introducing the bonus for its employees has increased production sufficiently to cover the costs	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Using income statements and financial documents to decide

Answer 12 of 12 · Question 4 part b · 6 marks

2023 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Evaluate the importance to *IKEA* of using demographic segmentation when targeting its customers. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Using demographic segmentation *IKEA* can target certain groups of people such as families with young children • *IKEA* will take into consideration the income of its customers, as this varies from country to country **AO2** • Younger families are going to need table and chairs that are reasonably priced and suitable for young children • Some customers with a larger income may want expensive looking tables and ornaments to display their wealth **AO3** • Whereas the older generation may need reliable and comfortable chairs to sit on • *IKEA* will need to take this into account when deciding what items of furniture to sell in each country **AO4** • However, not all families fit into a category and therefore *IKEA* needs to provide for all different demographics no matter where they are located • However, there is no guarantee that *IKEA*'s customers will buy what is expected of them	**(12)**

Type MS · Using income statements and financial documents to decide

Answer 12 of 12 · Question 4 part b · 6 marks

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Using income statements and financial documents to decide

Answer 12 of 12 · Question 4 part b · 6 marks

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Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)